

COURSE: PPL 305: BANKING AND INSURANCE LAW I

TOPIC: MONEY LAUNDERING AND LEGAL FRAMEWORK

A. INTRODUCTION

Money laundering is the act of transferring illegally obtained money through legitimate people on accounts in order to conceal its origin or source. Money laundering is an offence committed when an individual or organisation moves or transfers money obtained illegally from one location to another in order so that its original source or origin cannot be traced (Black's Law Dictionary, 8th edn, P. 1027).

Often, banks and their officers act as conduits for money laundering. The banking institution is the oxygen that gives life to the offence of money laundering. Without banks, movement of large amounts of illegally gotten money across national borders or even within a country would be extremely difficult. If such humongous sums of money were to be moved in cash without passing through the bank, there will be high risk of the person(s) in possession of the cash being apprehended by relevant law enforcement agencies. In this topic, we shall examine the offence of money laundering under Nigerian law, the laws and institutions for combating money laundering as well as the obligations of banks in regard to combating money laundering.

B. WHAT IS MONEY LAUNDERING?

Section 15(2) of the MPLA defines money laundering as an offence committed when any person or body corporate, in or outside Nigeria, directly or indirectly:

- (a) Conceals or disguises the origin of any fund or property knowingly or reasonably ought to have known that such property is, or forms part of the proceeds of an unlawful act – S. 15(2)(a); or
- (b) Converts or transfers any fund or property knowingly or reasonably ought to have known that such property is, or forms part of the proceeds of an unlawful act – S. 15(2)(b); or

- (c) Removes from jurisdiction any fund or property knowingly or reasonably ought to have known that such property is, or forms part of the proceeds of an unlawful act– S. 15(2)(c); or
- (d) Acquires, uses, retains or takes possession or control of any fund or property knowingly or reasonably ought to have known that such property is, or forms part of the proceeds of an unlawful act– S. 15(2)(d).

From the foregoing, it can be concluded that the crime of money laundering consists of any of the following acts, when committed by an individual or a corporate body. These acts are:

- To conceal (hide) or disguise the origin (source) of any fund or property, either knowing that such fund or property is the proceeds of or forms part of the proceeds of crime, or having every reason to know that the fund or property was so obtained. See S. 15(2)(a)
- To convert (change from one form to another) or transfer (move) any fund or property, either knowing that such fund or property is the proceeds of or forms part of the proceeds of crime, or having every reason to know that the fund or property was so obtained. The action that meets this requirement is merely to change the fund or property from its original form to another. For instance, to change cash into shares or to change property into cash or into another type of property. See S. 15(2)(b)
- To remove from jurisdiction any fund or property, either knowing that such fund or property is the proceeds of or forms part of the proceeds of crime, or having every reason to know that the fund or property was so obtained. For instance, to transfer fund from a bank account in Nigeria to a bank outside Nigeria (say, Switzerland or other safe havens for transfer of foreign funds overseas). See S. 15(2)(c)
- To acquire (own), use, retain or take possession or control of any fund or property, with knowledge that such fund or property is the proceeds of or forms part of the proceeds of crime, or having every reason to know that the fund or property was so obtained. There are at least four acts required under this limb. Any of these acts will be sufficient to ground a conviction for money laundering. These are:

- (i) To acquire (or own) the fund or property: This will apply where a person or corporate body buys shares or landed property, company, assets, etc illegally gotten;
- (ii) To use the fund or property: Here, the person or corporate body needs not acquire or own the fund or property. It is enough that the individual or corporate body uses the fund or property with the requisite *mens rea* (ie, knowledge that it is the product or part of the proceeds of crime);
- (iii) To retain possession or control: What is required here is that the individual or corporate body keeps control or possession of the fund or property with the requisite *mens rea* (ie, knowledge that it is the product or part of the proceeds of crime). The individual or corporate body needs not own, buy, acquire or even use the fund or property. It is enough that he or it keeps possession or control of it.
- (iv) To take possession or control: The act required here is similar to retention of possession or control discussed in (iii) above. The only difference is that in taking possession or control, the individual or corporate body merely accepts custody or to be in possession of the fund or property. In the case of retaining possession or control, the individual or corporate body refuses to give up possession or control even when his/its possession or control is threatened or challenged.

See S. 15(2)(d)

What Amounts to ‘Unlawful Act’ as Used in Section 15(2)?

It is to be noted that that the definition of money laundering in Section 15(2)(a)-(d) makes reference to the phrase ‘unlawful act’. Thus it provides that any person or body corporate who conceals or disguises the origin of, converts or transfers, removes from jurisdiction, or acquires, uses, retains or takes possession or control of any fund or property knowingly or reasonably ought to have known that such property is, or forms part of the proceeds of an **unlawful act**.

Section 15(6) defines the phrase ‘unlawful act’ to include:

...participation in an organized criminal group, racketeering, terrorism, terrorist financing, trafficking in persons, smuggling of migrants, sexual exploitation, sexual exploitation of children, illicit trafficking in narcotic drugs and psychotropic substances, illicit arms trafficking, illicit trafficking in stolen goods, corruption, bribery, fraud, currency counterfeiting, counterfeiting and piracy of products, environmental crimes, murder, grievous bodily injury, kidnapping, hostage taking, robbery or theft, smuggling (including in relation to excise and customs duties and taxes), tax crimes (related to direct taxes and indirect taxes), extortion, forgery, piracy, insider trading and market manipulations or any other criminal act specified in this Act or any other law in Nigeria.

The implication of the above definition of ‘unlawful act’ is that the proceeds of any act (ie, fund or property) derived from carrying out any act prohibited by any law in Nigeria will satisfy the requirement of Section 15(2) MPLA.

C. LEGAL FRAMEWORK FOR COMBATING MONEY LAUNDERING IN NIGERIA

There are various laws that have been enacted to provide the legal framework for combating money laundering in Nigeria. The most important ones are:

- Money Laundering (Prohibition) Act, 2011 (as amended in 2012).
- Economic and Financial Crimes Commission (Establishment, Etc) Act, 2004
- Banks and Other Financial Institutions Act, 2004
- Central Bank of Nigeria (Anti-Money Laundering and Combating the Financing of Terrorism in Banks and Other Financial Institutions in Nigeria) Regulations, 2013.
- Foreign Exchange (Monitoring and Miscellaneous Provision) Act, 2004.

D. MONEY LAUNDERING (PROHIBITION) ACT, 2011 (as Amended) (MLPA)

Section 1 of the MLPA provides that except in a transaction through a financial institution, no person or body corporate shall make or accept cash payment of a sum exceeding:

- a. ₦5 million of its equivalent, in the case of an individual; or
- b. ₦ 10 million or its equivalent, in the case of a body corporate.

The MLPA also provides for the report of every transfer of funds to or from a foreign country. Section 2(1) of the MLPA provides that a transfer to or from a foreign country of funds or securities by a person or body corporate, including a Money Service Business of a sum exceeding US\$10,000 or its equivalent, shall be reported to the Central Bank of Nigeria (CBN), the Securities and Exchange Commission (SEC) or the Economic and Financial Crimes Commission (EFCC) in writing within 7 days from the date of the transaction. This report must indicate the nature and amount of the transfer, as well as the name and addresses of the sender and the receiver of the funds or securities. See S. 2(2) MLPA. The Act defines money service premises to include currency dealers, money transmitters, cheque cashers, and issuers of travelers' cheques, money order or stored value. See S. 25.

The MLPA further requires that every transportation of cash or negotiable instruments above US\$10,000 or its equivalent by individuals in or out of Nigeria must be declared to the Nigerian Customs Service. It shall be the duty of the Nigerian Customs Service, upon receiving such declaration, to report same to the CBN and the EFCC.

It is an offence for any person to falsely declare or to fail to make the requisite declaration to the Nigerian Customs Service. Upon conviction, such offender is liable to the forfeiture of his/her undeclared funds or negotiable instrument or to imprisonment term of two years or to both such forfeiture and imprisonment. See 2(5) MLPA.

E. OBLIGATIONS ON BANKS IN REGARD TO COMBATING MONEY LAUNDERING IN NIGERIA

Banks are the major conduits or channels through which money laundering offences are committed. Therefore, banks are critical stakeholders in any effort to combat money laundering. In the light of this realisation of the importance of banks to the anti-money laundering policy of government, banks are placed under very serious and strict legal duties to report suspicious money laundering activities or transactions to relevant enforcement authorities. Some of these obligations are:

(i) Identification of Customers

Section 3(1)(a) of the MLPA requires a financial institution or designated non-financial institution to identify a customer with which it enters into transactions. Whether the customer is a permanent or occasional customer, whether a natural person or legal person or any other forms of legal arrangements, every customer must be identified using identification documents may be prescribed in any relevant regulations.

Note that by the definition of financial institution in section 25 of the MLPA, financial institution includes banks. Thus, Section 25 of the MPLA provides that:

Financial Institution” means banks, body association or group of persons, whether corporate or incorporate which carries on the business of investment and securities, a discount house, insurance institutions, debt factorization and conversion firms, bureau de change, finance company, money brokerage firm whose principal business includes factoring, project financing, equipment leasing, debt administration, fund management, private ledger service, investment management, local purchase order financing export finance, project consultancy, financial consultancy, pension funds management and such other business as the Central Bank, or other appropriate regulatory authorities may from time to time designate.

On the other hand, Section 25 defines designated non-financial institutions in the following words:

Designated Non-Financial Institution” means dealers in Jewellery, cars and luxury goods, chartered accountants, audit firms, tax consultants, clearing and settlement companies, legal practitioners, hotels, casinos, supermarkets, or such other businesses as the Federal Ministry of Commerce or appropriate regulatory authorities may from time to time designate.

A financial institution is also required to verify the identity of a customer using reliable independent source documents, data or information. It is also the duty of a financial institution to identify the beneficial owner of such account and take reasonable measures to verify the identity of the beneficial owner using relevant information or data obtained from a reliable source such that the financial institution is satisfied that it knows the identity of the beneficial owner. See S. 3(1) MLPA.

(ii) Duty to Undertake Customer Due Diligence

Section 3(2) of the MLPA provides that financial institutions and designated non-financial institutions shall carry out customer due diligence measures in the following circumstances:

- a. **When Establishing Business Relationship:** Section 25 of the MLPA defines business relationship as “an arrangement between a person and a financial institution or designated non-financial institution for the purpose of concluding a transaction; while transaction is defined widely to encompass all services rendered by a financial institution or designated non-financial institution to a customer.
- b. When carrying out occasional transactions above the applicable designated threshold prescribed by relevant regulations, including transactions carried out in a single operation or in several operations that appear to be linked.
- c. When carrying out occasional transactions that are wire transfers.
- d. When there is a suspicion of money laundering or terrorist financing, regardless of any exemption or thresholds, or
- e. When the financial institution or designated non-financial institution has doubts about the veracity or adequacy of previously obtained customer identification data. See S. 3(2) (a) –(e)

(iii) Duty to Take Enhanced Measures to Manage and Mitigate Risks

Section 3(4) MLPA requires financial institutions and designated financial institutions to take enhanced measures to manage and mitigate risks in certain circumstances.

(iv) Duty to Require Customer Identification in Respect of Suspected Money Laundering Transaction

By section 3(6) MLPA, where a financial institution or designated non-financial institution suspects or has reasonable grounds to suspect that the amount involved in a transaction is the proceed of a crime or an illegal act, it shall require identification of the customer notwithstanding that the amount involved in the transaction is less than US\$1,000 or its equivalent.

(v) Duty Where Customer is a Politically Exposed Person

Section 3(7) MLPA provides that where the customer is a politically exposed person (PEP), the financial institution or designated non-financial institution shall in addition to the due diligence required under section 3(1) and (2), put in place appropriate risk management system; and obtain senior management approval before establishing a business relationship and during any business relationship with such politically exposed person.

(vi) Duty to Report Suspicious Transactions

Section 6(1) MLPA requires a financial institution or a designated non-financial institution to report suspicious transactions to the EFCC. The report must contain information regarding the origin and destination of the fund, the purpose of the transaction and the identity of the beneficiary.

(vii) Duty to Keep and Preserve Customers' Records and Identification

Section 7 MLPA imposes on a financial institution or designated non-financial institution the obligation to keep at the disposal of the CBN or the National Drug Law Enforcement Agency (NDLEA) and such other regulatory authorities or judicial persons specified by the EFCC from time to time, record of a customer's identification for a period of at least 5 years after closure of account and severance of relations with the customer.

Similarly, a financial institution or designated non-financial institution is under obligation to keep at the disposal of the CBN, the NDLEA, etc, the record and other related information of a transaction carried out by a customer. Such records or reports shall be preserved for a period of at least 5 years after carrying out the transaction or making of the report, as the case may be.

(viii) Duty to Report Lodgement or Transfer of Certain Funds

Section 10(1) MLPA makes it obligatory for a financial institution or designated non-financial institution to report to the EFCC in writing within 7 days, any single transaction, lodgment or transfer of funds above ₦5 million or its equivalent (in the case of an individual) or ₦10 million or its equivalent (in the case of a body corporate).

(ix) Duty Not to Open or Maintain Numbered/Anonymous Accounts

Section 11(1) MLPA prohibits a financial institution or designated non-financial institution from opening or maintaining numbered or anonymous accounts for any person. Numbered bank accounts are bank accounts wherein the identity of the holder is replaced with a multi-digit number known only to the client and select private bankers. Although these accounts do add another layer of banking secrecy, they are not completely anonymous as the name of the client is still recorded by the bank and is subject to limited or warranted disclosure

(x) Duty Not to Deal with Shell Banks

Section 11(3)(a) MPLA prohibits a financial institution from entering into or continuing correspondent banking relationship with shell banks. A financial institution is also required to satisfy itself that a respondent financial institution in a foreign country does not permit its accounts to be used by shell banks.

Section 25 MPLA defines a shell bank as “a bank that is not physically located in the country in which it is incorporated and licensed and which is unaffiliated with a regulated financial group that is subject to effective consolidated supervision.”

F. MONEY LAUNDERING OFFENCES AND CRIMINAL LIABILITY OF FINANCIAL INSTITUTIONS

The MLPA creates offences which can be committed by individuals, financial institutions and designated non-financial institutions and for which both the bank and the principal officers are liable. Some of these offences are:

(i) Offence of Money Laundering

Upon conviction for any of the offences of money laundering as defined under Section 15(2) MPLA, the offender shall be liable to imprisonment term of not less than 7 years but not more than 14 years (in the case of an individual). See S. 15(3) MPLA. In the case of a corporate body, such corporate offender shall be liable to a fine of not less than 100% of the

funds and properties acquired as a result of the offence committed in addition to withdrawal of licence. See S. 15(4) MPLA

(ii) Offences Committed by Directors or Employees of Financial Institutions with Respect to Aiding Money Laundering

Section 16 MPLA provides a range of offences which can be committed by the Directors or employees of a financial institution. These offences include: disclosing to the owner of fund in the custody of bank about the reports the bank is required to make, the action the bank is required to take or refraining from making the requisite report; destruction or removing a register or record required to be mandatorily kept by the bank; making or accepting cash payments in excess of the threshold prescribed under the MPLA; failure to report an international transfer of funds or securities as required by the MPLA; and sundry other acts.

Section 16(1) provides that without prejudice to the penalties provided under section 15 of this MPLA, any person who-

- (a) being a director or employee of a Financial Institution warns or in any other way intimates the owner of the funds involved in the transaction referred to in section 6 of this Act about the report he is required to make or the action taken on it or who refrains from making the report as required;
- (b) destroys or removes a register or record required to be kept under this Act;
- (c) carries out or attempts under a false identity to carry out any of the transactions specified in sections 1 to 5 of this Act; or
- (d) makes or accepts cash payments exceeding the amount authorized under this Act;
- (e) fails to report an international transfer of funds or securities required to be reported under this Act; or
- (f) being a director or an employee of a Financial Institution or Designated Non-Financial Institution contravenes the provisions of Section 2, 3, 4, 5, 6, 7, 9, 10, 12, 13 or 14 of this Act, commits an offence.

(2) A person who commits an offence under subsection (1) of this Section shall be liable on conviction-

(a) in the case of an offence under paragraphs (a) of subsection (1), to imprisonment for a term of not less than 2 years or to a fine of not less than ₦10,000,000; and

(b) in the case of an offence under paragraphs (b) to (f) of subsection (1), to imprisonment for a term of not less than 3 years or to a fine of ₦10,000,000 or both, in the case of an individual and ₦25,000,000, in the case of a body corporate.

(3) A person found guilty of an offence under this section may also be banned indefinitely or for a period of 5 years from practicing the profession, which provided the opportunity for the offence to be committed.

(4) Where as a result of a serious oversight or a flaw in its internal control procedures, a Financial Institution or person designated under subsection (1)(a) of section 9 of the MPLA, fails to meet any of the obligations imposed by this Act, the disciplinary authority responsible for the Financial Institution or the person's professional body may, in addition to any penalty in this Act take such disciplinary action against the Financial Institution or persons as is in conformity with its professional and administrative regulations.

(iii) Concealment and Retention of Proceeds of a Criminal Conduct

According to Section 17 MPLA, a person who-

(a) conceals, removes from jurisdiction, transfers to nominees or otherwise retains the proceeds of a crime or an illegal act on behalf of another person knowing or suspecting that other person to be engaged in a criminal conduct or has benefited from a criminal conduct, or conspiracy, aiding, etc; and

(b) knowing that any property either in whole or in part directly or indirectly represents another person's proceeds of a criminal conduct, acquires or uses that property or possession of it;

commits an offence under the MPLA and is liable on conviction to imprisonment for a term not less than 5 years or to a fine equivalent to 5 times the value of the proceeds of the criminal conduct or both such imprisonment and fine.

(iv) Conspiracy, Aiding and Abetting the Offence of Money Laundering

Section 18 MPLA provides that a person who-

- (a) conspires with, aids, abets or counsels any other person to commit an offence;
- (b) attempts to commit or is an accessory to an act or offence; or
- (c) incites, procures or induces any other person by any means whatsoever to commit an offence, under this Act, commits an offence and is liable on conviction to the same punishment as is prescribed for that offence under this Act.

(v) Failure to Report Suspicious Transactions: Failure to report suspicious transactions or failure to submit report to the relevant authorities is an offence for which the offender is liable upon conviction to a fine of ₦1 million for each day the offence subsists – S. 6(9) MLPA.

(vi) Failure to Develop Programmes for Combating Money Laundering: For instance, failure to designate a compliance officer at management level at every branch and headquarters of the bank; failure to hold regular training programmes for employees; centralisation of information collected and failure to establish internal audit unit, etc, are all offences for which a bank may be convicted under the MPLA.

If satisfied that a financial institution or designated non-financial institution has committed the above offence, the CBN, SEC, the National Insurance Commission (NAICOM) or other regulatory authority may:

- (a) impose a penalty not less than ₦1 million (for capital brokerage and other financial institutions) and ₦5 million (in the case of a bank); and
- (b) in addition to the monetary fines in (a) above, the CBN, the SEC, the NAICOM or other relevant regulatory authority may suspend any licence issued to the financial institution or designated non-financial institution. See. S. 9(2).

(vii) Failure to Report Lodgement or Transfer of Fund above Certain Ceilings: Failure to report to the EFCC lodgement or transfer of funds above ₦5million or its equivalent, in the case of individuals, or ₦10 million or its equivalent, in the case of a body corporate, is an offence. The punishment is a fine of not less than ₦250,000 in addition to penalty of not more than ₦1 million for each day the offence subsists. See S. 10(3)

(viii) Dealing with Shell Bank: The offence attracts a fine of not less than ₦10 million and not more than ₦50 million. In addition, the principal officers of the corporate body are liable to prosecution for the offences and the company is to be wound up. Also, the constitution or incorporation of the company under any form or guise is prohibited. S. 11(4)

G. MONEY LAUNDERING UNDER THE EFCC ACT 2004

Section 6(b) of the Act gives the EFCC responsibility for the investigation of all financial crimes, including money laundering. Also, section 7(2)(a) of the Act provides that the EFCC shall have power to enforce the provisions of the Money Laundering Act, 2003 and the Money Laundering Act 1995. It should be noted that the above Acts have been repealed by and now replaced with the MLPA 2011 (as amended in 2012). Therefore, the EFCC is the Federal Government agency saddled with responsibility for the administration and enforcement of the MPLA 2011 (as amended).

H. MONEY LAUNDERING UNDER THE BANKS AND OTHER FINANCIAL INSTITUTIONS ACT, 2020 (BOFIA)

Section 66(1) of the BOFIA 2020 requires all banks, specialised banks, and other financial institutions to adopt policies stating their commitments to –

- (a) comply with Anti-Money Laundering (AML) and Combating Financing of Terrorism obligations under subsisting laws, regulations and regulatory directives; and
- (b) to implement internal control measures with a view to preventing any transaction that facilitates criminal activities, money laundering or terrorism.

In its part, Section 66(2) BOFIA gives the Governor of the CBN power to make regulations, guidelines and policies from time to time aimed at fighting money laundering and combating the

financing of terrorism, for banks and other financial institutions, in accordance with international best practices and standards.

Note: that this power was vested in the CBN Governor under Section 51(1) of the repealed BOFIA 2004.

Furthermore, Section 97(1) of BOFIA 2020 gives the CBN Governor power to freeze any account deemed to be involved in the commission of any criminal offence (ie, money laundering terrorism financing, fraudulent activities, etc). However, before exercising this power the CBN Governor must first obtain an order (*ex parte*) from the Federal High Court. See **GTB Plc v Adedamola (2019) 5 NWLR (Pt. 1664) 30 (Ratios 1-5)**.

Central Bank of Nigeria (Anti-Money Laundering and Combating the Financing of Terrorism in Banks and Other Financial Institutions in Nigeria) Regulations, 2013

These regulations were made by the CBN Governor pursuant to the powers vested in him under Section 51(1) of the repealed BOFIA 2004. Section 51(1) BOFIA 2004 has now been replaced with Section 66(2) BOFIA 2020. The objectives of the regulations are stated to be:

- (a) providing Anti-Money Laundering and Combating the Financing of Terrorism compliance guidelines for financial institutions under the regulatory purview of the CBN as required by relevant provisions of the Money Laundering (Prohibition) Act, 2011 (as amended), the Terrorism Prevention Act, 2011 (as amended) and other relevant laws and regulations;
- (b) enabling the CBN to diligently enforce the Anti-Money Laundering and Combating the Financing of Terrorism measures and ensure effective compliance by financial institutions;
- (c) providing guidance on know your customer (KYC) measures to assist financial institution in the implementation of these regulations.

See generally Reg. 1

**TOPIC: NEGOTIABILITY AND ASSIGNMENT, ENDORSEMENT AND DELIVERY,
PRESENTATION AND NOTICE OF DISHONOUR**

1. BILL OF EXCHANGE

A. DEFINITION/MEANING:

Section 3(1) of the Bill of Exchange Act 1917, defines a bill of exchange as “an unconditional order in writing, addressed by one person to another, signed by the person giving it, requiring the person to whom it is addressed to pay on demand or at a fixed or determinable future time a sum certain in money to, or to the order of, a specified person or bearer”. See **Continental Pharmaceuticals Ltd v. Scanbech (Frank-Bech) Denmark (2002) 13 NWLR (Pt.785) 439** (See ratios 3-5)

Note: that an instrument which does not comply with these conditions, or which orders any act to be done in addition to the payment of money, is not a bill of exchange. S. 3(2)

Features of Bill of Exchange

For an instrument to pass for a bill of exchange, it must possess the following features:

- (i) **The Bill Must Be an Order:** In other words, the instrument must be couched in the nature of a command, although a more courteous language may be used. For instance, “Pay X the sum of ₦1 million” or “Please pay X the sum of ₦1 million” will satisfy this requirement. But the expression, “I should be pleased if you pay X the sum of ₦1 million” will not satisfy the requirement that a bill of exchange must be expressed as an order or command. In **Ruff v Webb (1794) 1 Esp. 130**, it was held that a bill which expresses that ‘Mr. N. will much oblige Mr. W by paying to J.R. or order, twenty guineas on his account’ qualifies as a good bill of exchange. **But** the expression, “Mr. L., please let the bearer have seven pounds, and place it to my account and you will much oblige your humble servant, R.S.” was held not to be a bill of exchange. See **Little v. Slackford (1828) 1 Mood and M. 171**.
- (ii) **The Order Must Be Unconditional:** The bill must not order any act to be done in addition to the payment of money.
- (iii) **The Instrument Must be in Writing and Signed by the Drawer.**

- (iv) **The Order Must Be Addressed by One Person to Another:** It must be addressed by the drawer to the drawee.
- (v) **The Order Must Be for the Payment of a Sum Certain in Money:** Section 9(1) of the BEA provides that the sum payable by a bill is a sum certain within the meaning of this Act, although it is required to be paid- (a) with interest; (b) by stated instalments; (c) by stated instalments, with a provision, that upon default in payment of any instalment the whole shall become due; (d) according to an indicated rate of exchange or according to a rate of exchange to be ascertained as directed by the bill.

But a bill must require the payment of money. Thus, an order requiring payment in shares or bonds is not a bill. Similarly, an order to deliver up to bearer on demand a certain quantity of goods, will not satisfy this requirement. See **Dixon v. Bovill (1856) 3 Macq. 1**

- (vi) **The Instrument Must Indicate on Its Face a Certain or Determinable Time of Payment:** A bill must be expressed to be payable on demand or at a determinable future time. By Section 10(1) BEA, a bill is payable on demand-- (a) when it is expressed to be payable on demand or at sight or on presentation; or (b) in which no time for payment is expressed.

Similarly, by Section 11(1) BEA, a bill is payable at a determinable future time within the meaning of the Act where it is expressed to be payable-- (a) at a fixed period after date or sight; (b) on or at a fixed period after the occurrence of a specified event which is certain to happen, though the time of happening may be uncertain.

- (vii) **The Bill Must Specify an Identifiable Payee:** A bill must be drawn to or to the order of a specified person or to bearer. In other words, where a bill is not payable to bearer, the name of the payee must be expressly indicated on the bill with reasonable certainty.

Parties to a bill

There are three parties to a bill. These are:

- i. **The Drawer:** This is the person who draws the bill and he/she is the person who gives the order to pay.
- ii. **The Drawee:** This is the person on whom a bill is drawn. That is, he/she is the person to whom the order to pay money is given.

- iii. **The Payee:** This is the person to whom a bill is made payable. That is, he/she is the person to whom the payment indicated in a bill is to be made.

Other Terms Used in Bill of Exchange

Acceptor: When the drawee has accepted the bill, he becomes the acceptor and he/she accepts the bill by signing it.

Endorser: The person who endorses a bill is called the endorser. The endorser signs the bill made payable to his order.

Endorsee: The person to whom a bill is endorsed is called the endorsee. The Endorser signs a bill made payable to him/her for the purpose of putting it (the bill) in a deliverable state.

Holder: This is the payee or endorsee of a bill who is in possession of it, or the person in possession of a bearer bill.

A. NEGOTIABILITY OF A BILL

What is negotiability of a bill? Negotiability is the act of transferring the interest in a bill from one person to another in such a manner as to make or constitute the transferee the holder of the bill. S. 31(1) BEA)

NOTE: The method of negotiation of a bill will depend on whether the bill is payable to bearer (ie, bearer bill) or to order (ie, order bill).

Negotiation of Bearer Bills

A bearer bill is a bill made payable to the bearer. A bill is payable to bearer when it is expressed to be so payable, or when the only or last endorsement is an endorsement in blank. See **S. 8(3)**

A bill payable to bearer is negotiated by delivery only. Delivery is the handing over of a bill to a bearer. See S. 31(2).

Note: that where the payee is a fictitious or non-existing person, the bill may be treated as payable to bearer- see **S. 7(3)** BEA.

Negotiation of Bill Payable to Order

- A bill is payable to order when it is expressed to be so payable or it is expressed to be payable to a particular person and there are no words prohibiting transfer or indicating an intention that it should not be transferrable. Section S. 8(4)
- A bill payable to order is negotiated by endorsement and delivery - See **S. 31(3)**. Thus if a bill made payable either originally or by endorsement to the order of 'A' A has the option of either claiming payable himself or of transferring the bill to another person - **S.8(5)**
- If a bill payable to order is transferred for value without endorsement, the transfer does not give the transferee any better title than the transferor had. However, the transferee acquires the right to have the bill endorsed by the transferor - S.31(4)
- If a bill contains words prohibiting transfer, or words indicating an intention that the bill should not be transferred, it is valid as between the parties thereto, but is not negotiable. **S. 8(1)**

C. ENDORSEMENT OF BILL OF EXCHANGE

Endorsement is the inscription of a name or signature on a bill on the face or on the reverse side confirming the authority of the drawer or endorsee, and may or may not contain further instructions on payment.

Requirements of a Valid Endorsement

This is governed by Section 32 of the BEA. The conditions are as follows:

- The endorsement must be written on the face of the bill and the endorser must sign his/her signature on the bill. For this purpose, the mere signature of the endorser on the bill without any additional words will satisfy this requirement. S. 32(a)
- It must be an endorsement of the entire bill. In other words, the endorsement must not purport to transfer to the endorsee a part only of the amount payable. Thus, a bill which purports to transfer a part only of the amount payable, or which purports to transfer the bill to two or more endorsees severally does not operate as a negotiation of the bill. S. 32(c)
- Where a bill is payable to the order of two or more payees or endorsees who are not partners, all must endorse, unless the one endorsing has the authority to endorse for the others - S. 32(d)
- Where the payee or endorsee is wrongly designated or his/her name is misspelt in a bill made payable to order, the payee may endorse the bill as therein described, adding his proper signature, if he/she so chooses - **S. 32(e)**

- Where there are two or more endorsements on a bill, each endorsement is deemed to have been made in the order in which it appears, until the contrary is proved.

Types of Endorsement

There are four kinds of endorsement: These are:

- (i) Blank endorsement
- (ii) Special endorsement
- (iii) Restrictive endorsement
- (iv) Conditional endorsement

(i) Blank Endorsement: An endorsement in blank is effected by simply appending the signature of the Payee on the back of the bill. Where the Payee's name is wrongly spelt, the payee is required to endorsement according to the spelling on the bill, adding his/her proper signature, if he thinks fit. A blank endorsement does not specify an endorsee. As such the bill is payable to bearer.

(ii) Special Endorsement: A special endorsement specifies the person to whom or to whose order, the bill is to be payable. For instance, **"Pay A"** or **'Pay A or order.'** The bill is then payable to the specified endorsee endorsing it away. A blank endorsement can be converted into a special endorsement by writing above the endorser's signature a direction to pay the bill to the order of himself or some other person.

(iii) Restrictive Endorsement: This is an endorsement that prohibits further negotiation of the bill, or which expresses that it is a mere authority to deal with the bill as thereby directed and not a transfer of ownership of the bill. For examples: **'Pay X only'** or **Pay X for the account of 'Y' or pay X or order for deposit** - see S. 35(1)

Note: Where a bill is negotiable in its origin, it continues to be negotiable until it has either been restrictively endorsed; or discharged by payment or otherwise - See S. 36(1)

(iv) Conditional Endorsement: Where a bill purports to be endorsed conditionally, the condition may be disregarded by the payer and payment to the endorsee is valid whether the condition has been fulfilled or not. See S. 33.

For example: **'Pay to the order of A on his marriage to B'.**

D. PRESENTATION OF BILL

After a bill has been issued, it is important for the holder to present it to the drawee for acceptance to ascertain whether or not the drawee is willing to carry out the order of the drawer (that is, whether he/she will accept to make the payment ordered in the bill).

Presentation of a bill is done when the payee presents or tenders it to the drawee for acceptance and for payment. The duty of the holder of a bill is to present it for acceptance and for payment.

Presentation for Acceptance

Acceptance is defined as the signification by the drawee of his intention to be bound by the order, or his assent to the order of the drawer. After acceptance the drawee is known as the acceptor.

Acceptance of a bill is done by the drawee signing his/her name on the bill, with or without the word “accepted.” See s.17

As a general rule, it is neither compulsory nor necessary to have a bill accepted first before its presentation for payment. However, there are at least two advantages for presenting a bill for acceptance before presentation for payment. These are:

- The holder gains the additional security of the drawee’s/acceptor’s name: and
- Where acceptance is refused, the antecedent parties become liable immediately.

When Presentation of Bill for Acceptance is Required

Section 39 BEA requires presentation for acceptance in the following cases:

- where the bill is payable after sight: This is necessary for the purpose of fixing the maturity of the bill.
- where the bill expressly stipulates that it should be presented for acceptance
- where a bill is drawn payable elsewhere than at the residence or place of business of the drawee . See s.39

Rules on Presentation of Bill for Acceptance

Section 41(1) BEA provides that presentation of bill for acceptance must comply strictly with the following rules:

- presentation must be made by or on behalf of the holder - S. 41(1)(a)
- presentation must be made to the drawee or to some person authorised to accept or refuse acceptance on his behalf - S. 41(1)(a)
- presentation to the drawee or his authorised representative must be done at a reasonable hour on a business day and before the bill is overdue - S. 41(1)(a)
- where a bill is addressed to two or more drawees who are not partners, presentation must be made to all of them, unless one of the drawees has authority to accept for all of them, in which case presentation may be made to only such authorised representative - S. 41(1)(b)

- where the drawee is dead, presentation may be made to his personal representative - S. 41(1)(c)
- where the drawee is bankrupt or insolvent, presentation may be made to him or to his trustee or to the official assignee - S. 41(1)(d)
- where authorised by agreement or usage, presentation through the post office is sufficient - S. 41(1)(e)

Presentation of Bill for Payment

According to Section 45(1), a bill must be duly presented for payment. Failure to present a bill for payment discharges the drawer and endorsers from liability under the bill.

Requirements of Valid Presentation of Bill for Payment

Section 45(2) prescribes rules that must be complied with for presentation of bill for payment to be valid. These are:

- where the bill is not payable on demand, presentation must be made on the day it falls due - S. 45(2)(a)
- where bill is payable on demand, presentation must be made within a reasonable time after its issue in order to render the drawer liable; and within a reasonable time after its endorsement in order to render the endorser liable - S. 45(2)(b)

Note: that reasonable time is determined by reference to the nature of the bill, trade usage with regard to similar bills, and the facts of the particular case - See S. 45(2)(b)

- presentation must be made by the holder or by some person authorised to receive payment on his behalf - S. 45(2)(c)
- The presentation must be made at a reasonable hour on business day, at the proper place to either the person designated by the bill as payer, or to some person authorised to pay or refuse payment on the payer's behalf, if such person can be found with reasonable diligence - S. 45(2)(c)
- where a bill is presented at the proper place and after the exercise of reasonable diligence, no person authorised to pay or refuse payment can be found there, no further presentment to the drawee or acceptor is required - S. 45(2)(e)
- where a bill is drawn upon, or accepted by two or more persons who are not partners, and no place of payment is specified, presentation must be made to all of them - S. 45(2)(f)
- where the drawee or acceptor is dead, and no place of payment is specified, presentation must be made to a personal representative, if such can be found with reasonable diligence - S. 45(2)(g)
- where authorised by agreement or usage, presentation through the post office is sufficient – S. 45(2)(b)

Dishonour of Bill of Exchange

Section 47(1) enumerates situations where it can be said that a bill has been dishonoured. Thus, a bill is dishonoured by non-payment when it is duly presented for payment and payment is refused or cannot be obtained or, where an advice is sent through the post office and payment is not obtained in the following cases:

- where payment is not obtained on or before the date the bill falls due, in the case of a bill not payable on demand - S. 47(1) (a)(i)
- where payment is not obtained within ten days from the time the advice is posted, in the case of a bill payable on demand – S. 47(1)(a)(ii)
- when presentation of the bill is excused and the bill is overdue and unpaid - S. 47(1)(b)

Note: When a bill is dishonoured by non-payment, an immediate right of recourse against the drawer and endorsers accrues to the holder - S. 47(2)

Notice of Dishonour of Bill

Where a bill has been dishonoured by non-acceptance or by non-payment, notice of dishonor must be given to the drawer and each endorser. The effect of not giving notice of dishonor as required is that any drawer or endorser to whom such notice is not given is discharged from further liability under the bill - S. 48. See also **Bank of the North Ltd v. Yau (2001) 10 NWLR (Pt. 721) 408**

Exceptions

- where omission to give notice of dishonour of a bill dishonoured by non-acceptance will not prejudice the rights of a holder in due course subsequent to the omission - S. 48(a)
- where a bill is dishonoured by non-acceptance and due notice of dishonour is given, it shall not be necessary to give notice of a subsequent dishonour by non-payment unless the bill shall have been accepted in the meantime – S. 48(b)

Rules Governing Notice of Dishonour

For notice of dishonour to be valid and effectual, it must comply with the following rules:

- the notice must be given by or on behalf of the holder, or by or on behalf of an endorser who at the time of giving the notice is himself liable on the bill - S. 49(a)

- the notice of dishonour may be given by an agent either in his own name or in the name of any party entitled to give notice, whether that party is his principal or not – S. 49(b)
- where the notice is given by or on behalf of the holder ensures for the benefit of all prior endorsers who have a right of recourse against the party to whom it is given-s.49(c)
- where notice is given by or on behalf of an endorser entitled to give notice as stated above, it inures for the benefit of the holder and all endorsers subsequent to the party to whom notice is give - S. 49(d)
- the notice may be given in writing or by personal communication and may be in any terms that sufficiently identify the bil - S. 49(e)
- the notice must intimate that the bill has been dishonoured by non-acceptance or by non-payment - S. 49(e)
- the return of a dishonoured bill to the drawer or an endorser is deemed to be a sufficient notice dishonor - S. 49(f)

2. CHEQUES

Definition:

Section 73 of the BEA defines a cheque as a bill of exchange drawn on a banker payable on demand. Since a cheque is defined as a bill of exchange, it means the definition of a cheque must necessarily incorporate the definition of a bill of exchange. Therefore, a cheque is:

An unconditional order in writing drawn by one person upon another (which must be a banker) and signed by the drawer, requiring the banker to pay on demand, or at sight, or on presentation or expressing no time for payment, a sum certain in money to or to the order of a specified person or bearer.

Note: That Sections 73 of the BEA provides that except where specifically provided otherwise specified, the provisions of the Act relating to Bills of Exchange payable on demand apply to cheques.

Note Also: that the features of a bill of exchange are the same as those of a cheque with the following differences:

- the drawee of a cheque is always a banker
- Cheques do not require an acceptance (as in the case of a bills of exchange) and so the holder cannot sue the drawee bank.
- cheque is always payable on demand, while other bills are not always payable on demand.

Please note: that the rules as to negotiability and assignment, endorsement and delivery presentation and notice of dishonour of bill of exchange apply mutatis mutandis to cheques.

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3 PROMISSORY NOTES

Section 85(1) defines a promissory note as an unconditional promise in writing made by one person to another, signed by the maker engaging to pay on demand or at a fixed or determinable future time, a sum certain in money to or to the order of a specified person or to bearer.

It is a written and signed unconditional promise made by a maker to pay on demand or at a fixed or determinable future time a sum certain in money to or to the order of a named person or to bearer

Delivery of Promissory Note

- It is delivered by handing it over the payee or bearer.
- A promissory note is inchoate and incomplete until it is delivered to the payee or bearer.

NOTE: That except as otherwise provided in the Act, the provisions of the BEA relating to bills of exchange apply with necessary notifications to promissory notes. See S. 91(1)

NOTE: Also that in applying the provisions relating to bill of exchange to promissory notes, the maker of a note shall be deemed to correspond to the acceptor of a bill; and the first endorser of a note shall be deemed to correspond with the drawer of an accepted bill payable to drawer's order. See S. 91(2)

NOTE Further: that the following provisions relating to bills do not apply to notes:

- Provisions on presentation of bill for acceptance;
- Provision relating to acceptance of bill - S. 91(3)(a) and (b)

Presentation of Note for Payment

- Presentation of promissory note for payment is necessary in order to render the endorser of the note liable - S. 89(2)
- where presentation is required in the body of the note to be made payable at a particular place, note must be presented for payment at that place in order to render the maker liable - S. 89(1)
- where a promissory note payable on demand has been endorsed, it must be presented for payment within a reasonable time of the endorsement - S. 88(1)

- If it is not so presented, the endorser is discharged from liability under the note - S. 88(2)

In determining what amounts to a reasonable time, regard shall be had to the nature of the instrument, trade usage, and the facts of the particular case.

Sample Bill of Exchange Payable on Demand

₦50,000	Abuja, 15 th January 2021
On demand pay Peter Andrew or order the sum of Fifty Thousand Naira for value received.	
To: Bruce ken	Gad David

Sample Bill of Exchange Payable at a Fixed Time

₦1,000.000	Aba, 20 th March 1999
Ninety days after date pay to Essien. Udoh or order the sum of One Million Naira for value received.	
To: Kalu Uche	Kingsley Udofia

Sample Bill of Exchange Payable at a Determinable Future Time

₦100.000	Port Harcourt, 22 May 2000
Twenty days after the death of Mr..Jesse John Pay Abiola Ojo or order the sum of One Hundred Thousand Naira for value received.	
To: Elechi Emeka	Davidson Tamuno

Sample Promissory Note

₦10,000	Lagos, 16 April 2010
Four months after date, I promise to Pay Simon Jordan order the sum of Ten Thousand Naira for value received.	
STAMP	Signature Kay Williams

Sample Joint Promissory Note

₦10,000	Ibadan, 10 May1998
On 1 st October 19988, we promise to to Pay Simon Jordan order the sum of Ten Thousand Naira for value received.	
STAMP	Timi Paul Kay Williams

Sample Joint and Several Promissory Note

₦10,000	Lagos, 18 February 2021
We jointly and severally promise to to Pay Simon Jordan order the sum of Ten Thousand Naira for value received.	
STAMP	Timi Paul Uche Daniel Kay Williams

Where a note is issued as 'Joint', the following legal implications will ensue:

- Any of the makers of the joint note can be sued on the note and therefore be made to pay the full amount on the note
- The person sued may however afterwards recover a contribution from the other signatories

Implication for Holder

- A holder of a joint note has only one joint action. This means that he can sue one or more of the makers together
- If he does not sue all the makers (ie, where he sues only one of the joint makers) and does not recover the full amount, the holder cannot afterwards sue any of them that was not included in the original action. It is therefore advisable to sue all of them.

See **Kendall v Hamilton (1879) 4 A.C 504** where a creditor sued two of the three persons indebted to him and obtained judgment against the two. When the judgment obtained could not be satisfied, he proceeded against the third persons contending that the third person is jointly liable with the other two in respect of the money advanced to them jointly. It was held that the action against the third person is not maintainable as regards the earlier unsatisfied judgment.

Legal Implications of Joint and Several Note

- Any of the makers of the joint and several note can be sued on the note and accordingly be made to pay the full amount on the note.
- The person sued can afterwards recover a contribution from the other makers.

Implication for Holder of Such Joint and Several Note

- where the makers refuse to pay, a holder of a joint and several note can sue them in turns (ie, one after the other) to enforce payment of the entire sum.
- The holder has right of action against all the makers but may decide or choose to sue only one or some of them for the full amount.
- If the holder sues one or more of the makers and fails to recover the full amount, he is still entitled to sue the rest either severally or jointly until he recovers the full amount.

TOPIC: MERGER AND CONSOLIDATION OF BANKS

LECTURE OUTLINE

- a.** Definition/Meaning of Merger and Consolidation
- b.** History of Capitalisation in Nigeria's Banking Industry
- c.** 2004-2008 Bank Merger and Consolidation Experience
- d.** Legal Framework for Bank Merger and Consolidation in Nigeria
- e.** Institutional Framework for Merger and Consolidation of Banks in Nigeria
- f.** Classifications of Merger
- g.** Requirements/Procedures for Merger

A. MEANING OF MERGER AND CONSOLIDATION

The Black's Law Dictionary (8th edition) defines merger as, "the act or an instance of combining or uniting". Similarly, the same dictionary defines consolidation as "the unification of two or more corporations or other organisations by dissolving the existing ones and creating a single new corporation or organization". A merger occurs when two or more firms combine to form one new company. The Investment and Securities Act 2007 (ISA) defines a merger as the amalgamation of the undertakings (assets) or any part of the undertakings or interest of two or more companies.

However, with the enactment of the Federal Competition and Consumer Protection Commission Act 2018 (FCCPC Act) which repealed Sections 118-128 of the ISA relating to mergers, the FCCPC Act has become the main regulatory framework for mergers in Nigeria. Section 167(1) of the FCCPC Act says 'merger' means a transaction falling under Section 93 (sic: Section 92) of the FCCPC Act. Section 92 of the FCCPC Act stipulates that:

- (a) a merger occurs when one or more undertakings directly or indirectly acquire or establish direct or indirect control over the whole or part of the business of another undertaking; and
- (b) a merger contemplated by Section 92(a) above may be achieved in any manner, including through:
 - (i) the purchase or lease of the shares, an interest or asset of the undertaking in question;
 - (ii) the amalgamation or other combination with the other undertaking in question; or
 - (iii) a joint venture

Section 92(2) of the FCCPC Act describes when it can be said that one business or undertaking has control over the business of another undertaking. These are:

- (a) where it beneficially owns more than half of the issued share capital or assets of the undertaking;
- (b) where it is entitled to cast the majority of the votes that may be cast at the general meeting of the undertaking or has the ability to control the voting of a majority of those votes, either directly or through a controlled entity of that undertaking;
- (c) where it is able to appoint or to veto the appointment of a majority of the directors of the undertaking;
- (d) where it is a holding company, and the undertaking is a subsidiary of that company within the contemplation of the Companies and Allied Matters Act 2020;
- (e) where in the case of a undertaking that is a trust, where it has the ability to control the majority of the votes of the trustees, to appoint the majority of the trustees or to appoint or change the majority of the beneficiaries of the trust; or

- (f) where it has the ability to materially influence the policy of the undertaking in a manner comparable to a person who, in ordinary commercial practice, can exercise an element of control referred to in paragraphs (a)-(f) above.

B. HISTORY OF BANK CAPITALISATION IN NIGERIA

The Era of Free Banking or Laissez-Faire Banking (1891 – 1951)

Commercial banking in Nigeria commenced in 1891 with the advent of the African Banking Corporation. In 1894, the operations of the bank were taken over by the Bank of British West Africa (BBWA). In 1899, a second foreign bank, Bank of Nigeria, was established. The period 1892 to 1951 was basically a period generally referred to as the era of “free banking” or laissez-faire banking because there were no rules or guidelines controlling the activities of banks. There were no rules, regulation and/or laws that regulated the business of banking until 1952 when the first ordinance was enacted. During this period a number of indigenous banks grew up but many failed as a result of inadequate capital, bad management, poor staffing and fraud. The initial banks that were operating in Nigeria in the late 19th century had extensive British links.

The Era of Banking Regulation (Beginning From 1952)

In 1948, the colonial authorities set up a commission to enquire into banking business in Nigeria and make recommendations to the government on the extent as well as the form of control that was required in the country. The Paton Committee that was set up in September 1948 reported in October same year and produced the Paton Report, Report on Banking in Nigeria. There are, at least, three discernible periods in this era of Banking regulation. The first was the era of limited regulation from 1952-1958, the era of intensive regulation from 1958-1972 and the era of regulation and indigenization (1972 – 1986). With the enactment of the 1952 Banking Ordinance

came the initial attempt at regulating the banking industry. The 1952 Banking Ordinance defined banking business as “the business of receiving from the public on current account, money which is to be repayable on demand by cheque and on making advances to customers.” The Ordinance stipulated the provisions for licensing of banks. Only a registered company could hold a valid banking license. It also stipulated the procedures for banking business by prescribing minimum capital requirements for banks. Specifically, if a banking license is to be granted by the Financial Secretary, the minimum paid-up capital required for indigenous banks was £12,500 (or N25,000) and for expatriate banks £100,000 pounds (or N200,000).

The period of intensive regulation began with the Banking Ordinance of 1958 and the CBN Act of 1958. Specifically, the new Banking Ordinance 1958 raised the minimum share capital for foreign banks from £100,000 (pounds sterling) to £200,000 (pounds sterling) while the requirement for indigenous banks remained unaltered. Amendments to the Banking Act 1958 occurred in 1962 with the following important provisions:

- The minimum share capital of banks was reviewed upwards: indigenous banks £250,000; foreign banks £250,000. Existing banks were given a seven-year grace period to comply with the new regulation. [This grace period was commendable compared to the three-year period of the 1952 Banking Ordinance].
- Foreign banks were required to give a satisfactory undertaking to the Minister of Finance to retain in Nigeria, funds equal to the minimum £250,000.

Just as the seven years grace period was about to expire, a new banking decree, repealing the earlier banking legislation of 1958, was enacted by the then military dictatorship. Specifically,

the minimum paid-up capital was reviewed upwards from £250,000 to £300,000 for indigenous banks. Expatriate banks were required to beef up capital to minimum of £750,000.

The Era from 1979-2005

During this era which spanned about 26 years, bank capitalisation requirements were as follows:

- By 1979, the capitalization required for Nigerian Banks had been increased to N1,000,000 for merchant Banks and N2,000,000 for commercial banks.
- In 1988, this figure increased to N6,000,000 for merchant banks and N10,000,000 for commercial banks.
- Between 1989 and 1990, the capitalization figure was N12,000,000 for merchant banks and N20,000,000 for commercial banks.
- By 1991, capitalization requirement was N40,000,000 for merchant banks and N50,000,000 for commercial banks.
- In 1997, capitalization requirement for banking operations was raised to N500,000,000 for both merchant and commercial banks;
- From 1999- 2002, it was N1 billion for all banks.
- By January 2004, it was increased to N2 billion for all banks;
- Between 2004 and 2005, bank capitalization shot up to N25 billion The increase of 1150% came even before the expiration of the N2billion recapitalization exercise.

C. THE 2004-2008 BANK MERGER AND CONSOLIDATION EXPERIENCE

In his address to the Special Meeting of the Bankers Committee on July 6, 2004, the CBN Governor, Professor Charles Soludo, announced a 13-point Reform Agenda tagged “the New

Agenda for Repositioning the CBN and the Financial System for the 21st Century”, three of the reforms relevant to this topic are outlined as follows:

1. Requirement that the minimum capitalization for banks should be N25billion Full compliance before end-December 2005 (18-month expiry period). Only banks that meet the requirement can hold public sector deposits and participate in the banking sector by end 2005. Names of banks that qualify by 31st December 2005 will be published.
2. Phased withdrawal of public sector funds from banks, starting in July 2004.
3. Consolidation of banking institutions through mergers and acquisitions.

NOTE: That a major fall-out of the exercise was that 76 out of 89 banks made the recapitalization deadline of December 31, 2005. The 76 banks either went through some form of merger or acquisition with the exception of a few banks that stood alone.

D. CLASSIFICATION/TYPES OF MERGER

Generally, in terms of purpose or reason for merger, mergers are of three basic types, which are horizontal, vertical, and conglomerate.

Horizontal Merger: In a horizontal merger, companies at the same stage in the same industry merge to reduce costs, expand product offerings, or reduce competition. Many of the largest mergers are horizontal mergers to achieve economies of scale.

Vertical Merger: In a vertical merger, a company buys a firm in its same industry, often involved in an earlier or later stage of the production or sales process. Buying a supplier of raw materials, a distribution company, or a customer gives the acquiring firm more control.

Conglomerate Merger: A conglomerate merger brings together companies in unrelated businesses to reduce risk. Combining companies whose products have different seasonal patterns or respond differently to business cycles can result in more stable sales.

E. LEGAL FRAMEWORK FOR MERGER AND CONSOLIDATION OF BANKS IN NIGERIA

The major laws that regulate merger and consolidation of banks in Nigeria are:

- Investment and Securities Act 2007
- Securities and Exchange Commission Rules 2013 (as amended in 2015)
- Federal Competition and Consumer Protection Commission Act 2018
- Banks and Other Financial Institutions Act 2020

F. INSTITUTIONAL FRAMEWORK FOR MERGER AND CONSOLIDATION OF BANKS IN NIGERIA

The key institutions saddled with responsibility to regulate merger and consolidation of banks in Nigeria are:

- Securities and Exchange Commission (SEC)
- Federal Competition and Consumer Protection Commission (FCCPC)
- Central Bank of Nigeria (CBN)

G. CATEGORIES OF MERGER UNDER THE ISA AND FCCPC ACT

The ISA 2007 recognises three categories of mergers. It categorizes mergers into three, namely: small merger, intermediate merger, and large merger.

- Small merger- merger of a value of N500million or less
- Intermediate merger- merger of a value exceeding N500million but less than N5billion.
- Large merger- merger of a value of N5billion and above

It should be noted that with the enactment of the FCCPC Act and the consequent repeal of Sections 118-128 of the ISA which regulated mergers in Nigeria, the ISA no longer regulates

merger. It is, therefore, the FCCPC Act that governs the merger of corporate entities in Nigeria, including banks.

Under the FCCPC Act, mergers are classified into two categories only, namely small merger and large merger. The intermediate category has been dropped.

Small Merger: Section 92(4)(a) of the FCCPC Act defines a ‘small merger’ as a merger with a value at or below the threshold under the regulations made by the FCCPC.

Large Merger: Section 92(4)(b) of the FCCPC Act defines a ‘large merger’ as a merger with a value above the threshold under the regulations made by the FCCPC.

What this means is that unlike the ISA, the FCCPC Act did not directly specify the minimum thresholds for each of the classes of mergers created under the Act. Rather, the Act gives the FCCPC power to stipulate such thresholds in regulations made by it. It does not yet appear that the FCCPC has made a threshold determination in regulations as required by the FCCPC Act.

H. FACTORS TO BE CONSIDERED BY THE FCCPC IN CONSIDERING WHETHER OR NOT TO APPROVE A MERGER PROPOSAL

By virtue of Section 94(1) of the FCCPC Act, the FCCPC is required to consider certain factors when considering a merger or a proposed merger. It is required to determine:

- (a) whether or not the merger is likely to substantially prevent or lessen competition, by assessing the factors set out in subsection (2) of Section 94;
- (b) if it appears that the merger is likely to substantially prevent or lessen competition, then determine-
 - (i) whether or not the merger is likely to result in any technological efficiency or other pro-competitive gain which will be greater than, and off-set, or is likely to

result from the merger, and would not likely be obtained if the merger is prevented; and

- (ii) whether the merger can or cannot be justified on substantial public interest grounds by assessing the factors set out in subsection (3) of Section 94:

(c) otherwise, determine whether the merger can or cannot be justified on substantial public interest grounds by assessing the factors set out in subsection (3) of Section 94.

Section 94(2) provides that in determining whether or not a merger or a proposed merger is likely to substantially prevent or lessen competition, the FCCPC shall assess the strength of competition in the relevant market and the probability that the undertakings in the market, after the merger, will behave competitively or co-operatively, taking into consideration any factor that is relevant to competition in that market, including the following factors:

- (i) the actual and potential level of import competition in the market;
- (ii) the ease of entry into the market, including tariff and regulatory barriers;
- (iii) the level and trends of concentration and history of collusion in the market;
- (iv) the degree of countervailing power in the market;
- (v) the dynamic characteristics of the market, including growth, innovation and product differentiation;
- (vi) the nature and extent of vertical integration in the market;
- (vii) whether the business or part of the business of a party to the merger or proposed merger has failed or is likely to fail; and
- (viii) whether the merger or proposed merger will result in the removal of an effective competitor.

I. ROLE OF THE CENTRAL BANK OF NIGERIA IN BANK MERGER

The BOFIA 2020 provides that except with the prior written consent of the CBN Governor, no bank shall enter into the following:

- (a) an agreement or arrangement which results in a change in the control of the bank, or the transfer of a significant shareholding in the bank; - S. 7(1)(a) BOFIA
- (b) an agreement or arrangement for the sale, disposal or transfer of the whole or any part of the business of the bank; - S. 7(1)(b)
- (c) an agreement or arrangement for the amalgamation or merger of the bank with any other person; - S. 7(1)(c)
- (d) an agreement or arrangement for the restructuring, reconstitution or re-organisation of the bank – S. 7(1)(d); or
- (e) an agreement or arrangement to transfer the whole or any part of the business of the bank to any such agent – S. 7(1)(e)

Section 7(3) stipulates that any transaction in regard to merger without the consent of the CBN is null and void and any transfer of interest thereunder shall be ineffectual, except the CBN subsequently ratifies such transaction in writing.

Factors the CBN Will Consider in Approving a Merger

Section 7(4) BOFIA sets out the factors that will influence the CBN in reaching a decision to approve a merger or any of the agreements or arrangements mentioned in Section 7(1). The CBN must satisfy itself that:

- (a) such agreement or arrangement is not likely to cause a restraint of competition, or tend to create a monopoly in the banking industry;
- (b) the significant shareholders or directors of the bank that results from the agreement or arrangement are not disqualified under Section 47 of the BOFIA;
- (c) the agreement or arrangement is consistent with public interest; or
- (d) the bank that results from the agreement or arrangement meets the capital requirements prescribed under Sections 9 and 13 of the BOFIA.

Section 7(6) BOFIA provides that the provisions of BOFIA shall apply notwithstanding the provisions of the FCCPC Act. A violation of the provisions of Section 7(1) of BOFIA (ie, entering into a merger agreement or arrangement without the CBN Governor's prior written consent is an offence punishable with a fine of ₦20 Million, and in the case of a continuing breach, an additional penalty of ₦500, 000.00 for each day during which the breach continues.

Threshold for Small and Large Mergers

Paragraph 1.1 of the **Federal Competition and Consumer Protection Commission Act, 2018** **Notice of Threshold for Merger Notification Pursuant to Section 94(3), 2019** provides that merger shall be notifiable before implementation if, in the financial year preceding the merger,

- (i) the combined annual turnover of the acquiring undertaking and the target undertaking in, into or from Nigeria equals or exceeds **₦1 Billion**; or
 - (ii) the annual turnover of the target undertaking in, into or from Nigeria equals or exceeds **₦500, 000, 000.00**.
- The implication of the above provision is that a small merger is a merger scheme in which the combined annual turnover of both the acquiring undertaking and the target

undertaking is less than **₦1 Billion**; Or is a merger scheme in which the annual turnover of the target undertaking is less than **₦500,000,000**.

- The implication is that a large merger is a merger scheme in which the combined annual turnover of both the acquiring undertaking and the target undertaking is equal to or above **₦1 Billion**; Or is a merger scheme in which the annual turnover of the target undertaking is equal to or above **₦500,000,000**.

❖ **Procedure to Obtain Approval for Small Merger**

- The merging parties obtain the prior written consent of the Governor of Central Bank of Nigeria to merge – S. 7(1) BOFIA 2020
- The parties notify the FCCPC (if the FCCPC requires notification or if the merging parties voluntarily decide to notify the FCCPC) of their decision to embark on the merger – S. 95(1)-(3) FCCPC Act.

Note: that except where otherwise specifically demanded by the FCCPC, notice is not required for a small merger – S. 95(1) FCCPC Act.

- Within 20 business days after the parties to a small merger have given such notification (where notice is required), the FCCPC:
 - (a) may extend the period within which to consider the merger by a single extension not exceeding 40 business days, in which case the FCCPC must issue an extension certificate to any party who notified it of the merger – S. 95(6)(a) FCCPC Act.
 - (b) shall, after considering the merger, issue a report in the prescribed form:
 - (i) approving the merger – S. 95(6)(b)(i);
 - (ii) approval the merger subject to any condition(s) - S. 95(6)(b)(ii);

- (iii) prohibiting the implementation of the merger, if the merger has not been implemented - S. 95(6)(b)(iii);
 - (iv) prohibiting the merger, if the merger has already been implemented - S. 95(6)(b)(iv).
- At the expiration of the 20 business days the FCCPC has not issued an extension, or upon the expiration of such extended period of 40 business days (whichever is applicable), if the FCCPC has not issued the report required under Section 95(6)(b) above, the merger shall be deemed to have been approved - S. 95(7).
- The FCCPC is required to:
 - (a) publish a notice of its decision in the Gazette - S. 95(8)(a); and
 - (b) issue in writing the reason(s) for its decision if the FCCPC prohibits or conditionally approves the merger or where a party to the merger requires the FCCPC to issue such written reason(s) - S. 95(8)(b).

❖ **Procedure to Obtain Approval for Large Merger**

- The merging parties are to obtain the prior written consent of the Governor of Central Bank of Nigeria to merge – S. 7(1) BOFIA 2020
- The parties shall notify the FCCPC of their decision to embark on the merger. The notice must be in the prescribed manner and form – S. 96(1) FCCPC Act.
- The notification to the FCCPC must be published within 5 business days of the receipt of the notification by the FCCPC - S. 96(2). Publication is to be done by the FCCPC.
- After notification to the FCCPC, the primary acquiring undertaking and the primary target undertaking shall each provide a copy of the notice to:

- (a) Any registered trade union that represents the employees in the target and acquiring undertakings respectively - S. 96(3)(a); or
- (b) The employees or representatives of the target and acquiring undertakings, if there are no such registered trade unions - S. 96(3)(b).
- Within 60 business days after the parties have fulfilled all their notification requirements, the FCCPC:
 - (a) may extend the period within which it has to consider the proposed merger to 120 business days, in which case the FCCPC must issue an extension certificate all the parties to the merger – S. 97(1)(a) FCCPC Act.
 - (b) After considering the merger, the FCCPC may issue a report in the prescribed form:
 - (i) approving the merger – S. 97(1)(b)(i);
 - (j) approving the merger subject to any condition(s) - S. 97(1)(b)(ii);
 - (k) prohibiting the implementation of the merger - S. 97(1)(b)(iii).
- At the expiration of the 60 business day and the FCCPC has not issued an extension notice as required, or upon the expiration of such extended period of 120 days (whichever is applicable), if the FCCPC has not issued the report stated in Section 97(1)(b) of the FCCPC Act, the merger shall be deemed as having been approved, subject however to the powers of the FCCPC to revoke the approval as stipulated in Section 99 of the Act - S. 97(2).

Note: that Section 99 provides that the FCCPC reserves the power to revoke its decision to approve or conditionally approve a large merger in any of the following cases:

- (i) Where the decision of the FCCPC was based on incorrect information supplied by the merging parties – S. 99(1)(a);

- (ii) Where the approval was obtained by deceit - S. 99(1)(b);
 - (iii) Failure of the parties to implement the merger within 12 months after its approval - S. 99(1)(c);
 - (iv) Where an undertaking concerned has breached a condition attached to the approval - S. 99(1)(d).
- The FCCPC is required to give to the parties applying for a large merger its decision and:
 - (a) cause such decision to be published in at least two national newspapers S. 97(3)(a); and
 - (b) issue written reasons for its decision if it prohibits or conditionally approves the merger or where a party to the merger requires the FCCPC to issue such written reason(s) - S. 97(3)(b).

Note: The parties to a large merger shall not implement the merger unless approved, with or without conditions, by the FCCPC - S. 96(4). Any action undertaken under the merger without the approval of the FCCPC is void - S. 96(5).

ACTION BY AGGRIEVED PERSONS

Any person aggrieved by the decision of the FCCPC with respect to merger shall apply to the Competition and Consumer Protection Tribunal (CCPT) for review. Appeals from the decision of the CCPT lie to the Court of Appeal – S. 103. **Note:** that the CCPT is established in Section 39 of the FCCPC Act.

Factors to be considered by the FCCPC before Approving a Merger